

Greenblatt and Swensen both agree on the demerits of active money management, and they have suggested indexing as an alternative. With the Greenblatt method, the advantage is that the investor is buying stocks from the same pool he's choosing from.

To summarize, we could buy the S&P 500 Index or Russell 2000 Index and do better than the vast majority of active money managers. A better approach is to buy these indexes in a dollar cost-averaged manner. An even better approach is to go with the Magic Formula using Greenblatt's approach with no adaptation or changes. A slight improvement is to only look at the \$1 million minimum market cap stocks. Smaller market cap stocks are generally under-followed on Wall Street, and they are more likely to have their prices deviate significantly from underlying intrinsic value. It is also worth focusing a bit more attention on the ones with the highest earning yields (lowest P/E ratios). The combination of small caps and high earning yields in this group is better than randomly picking off stocks.

There are usually about 250 stocks across the entire range of market caps on the Magic Formula. These 250 stocks comprise our universe of good and cheap stocks. Compared to the Russell 2000 or S&P 500, picking a handful out of this list is like shooting fish in a barrel. Greenblatt's own portfolio approach is to shoot just five of these barreltrapped fish—after the water has run out. It is very hard for him to miss.

FIFTY CENT DOLLARS—HIDING IN PLAIN SIGHT!

The Magic Formula is a very good place to go hunting for fifty-cent dollar bills. We could keep it very simple, only analyzing Magic Formula stocks day in and day out, and become quite wealthy over time. I strongly recommend this approach. It is simple. You're shooting fish in a small barrel, and the results are likely to be vastly superior to the indexes. However, here are nine other ponds where we are likely to find more of these fifty-cent dollars.

1. The Value Investors' Club (VIC) web site is open to the public, and it is loaded with a plethora of fifty-cent dollars. Anyone can view